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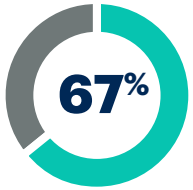
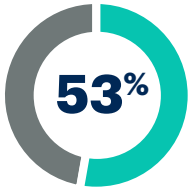
Strategic Planning Essentials

How to avoid 7 costly planning mistakes — featuring a one-page template to communicate your plan

In a volatile world, strategy and its execution can quickly go off course



of strategy leaders say there's more than a 50% chance that their **plans will need to change** after they have concluded annual planning.



of business leaders responsible for strategy say their enterprise **fails to achieve its strategic objectives.**

of business leaders say their enterprise **can change plans fast enough** to respond to market changes.

Sources: 2022 Gartner Strategy Adaptive Planning Survey; 2022 Gartner Barriers to Continuous Strategy Execution Survey; 2022 Gartner Strategy Business Partner Planning Perspectives Survey

Turn strategy into action with seven common-sense actions

Surprisingly few executives know how to get what they need out of strategic planning. Unclear objectives, poor processes and disengaged business leaders are just a few of the reasons that strategy turns too slowly into action.

These seven actions will help you produce high-quality strategic plans that will be successfully executed yet responsive to change.

1. Focus first on **a minimally viable strategy.**
2. Customize planning activities **for participants.**
3. Sketch out **initiative design** early on.
4. Be clear about **who owns what.**
5. **Cascade plans** side to side, not just top-down.
6. Focus **performance measures** on key assumptions.
7. **Pressure-test plans** against a few future scenarios.

☆ **Bonus feature:** One-page template to communicate your strategic plan

1 Focus on designing a minimally viable strategy

Avoid this mistake: Striving to create a comprehensive strategic plan all at once

Organizations able to **change plans fast** are 198% more likely to capture the full potential of opportunities created by external events.

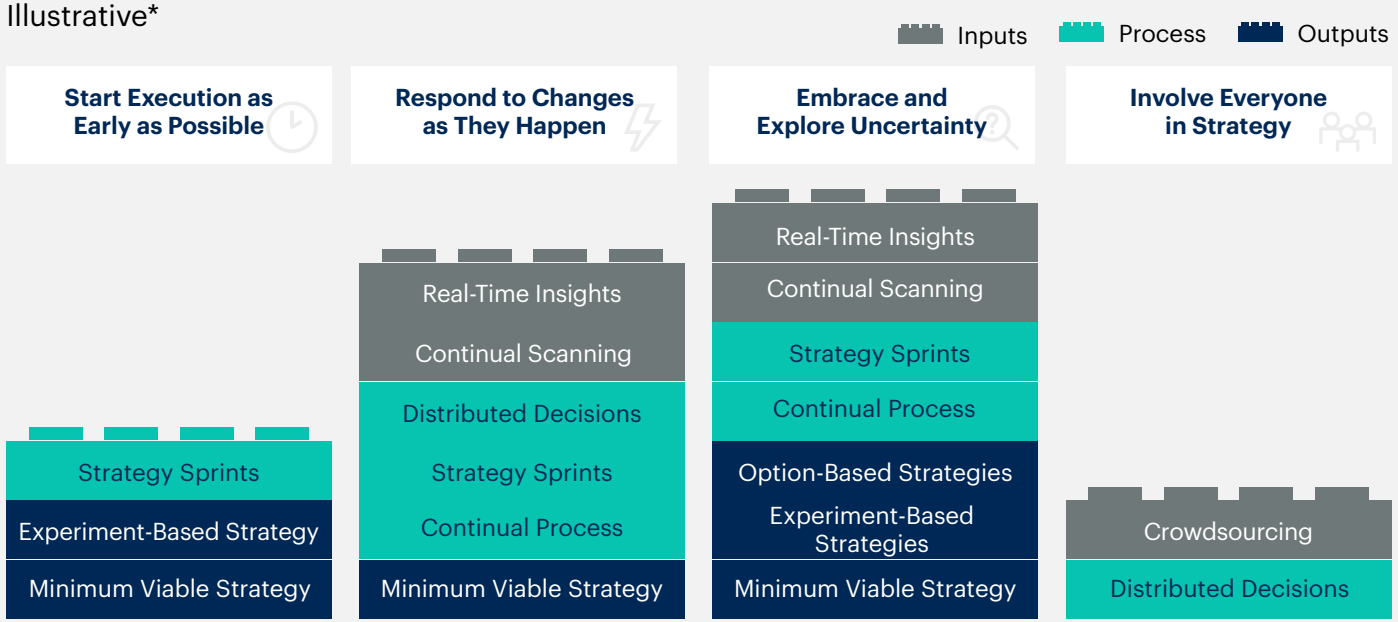
Source: 2022 Gartner Strategy Adaptive Planning Survey

When markets change frequently, a fully integrated, comprehensive plan can work against you, as it doesn't leave space to add or easily adjust plans.

Minimally viable plans, however, enable the organization to better embrace the core tenets of an adaptive organization.

Adaptive Strategy Building Blocks

Illustrative*



Note: Gartner research has identified nine building blocks that organizations use as part of an adaptive strategy process. Select those most relevant to establishing your required adaptive strategy practices.
Source: Gartner

2 Customize planning activities to meet participants where they are

Avoid this mistake: Streamlining or standardizing planning efforts just to lower total cost/time

Fast plan changes are 3.4 times more likely to happen when the business is **engaged in planning.**

Source: 2022 Gartner Strategy Adaptive Planning Survey

You need business-compatible planning experiences to be more relevant, convenient and practical. See example at right.

Compatible Planning Experiences: The New Adaptive Planning Paradigm

Source: Gartner

3 Sketch out initiatives to make sure the resources exist

Avoid this mistake: Delegating design of strategic initiatives without testing their feasibility

When funding is lacking, **45% of strategic initiatives fail.**

Source: 2022 Gartner Strategy Long-Term Initiative Resourcing Survey

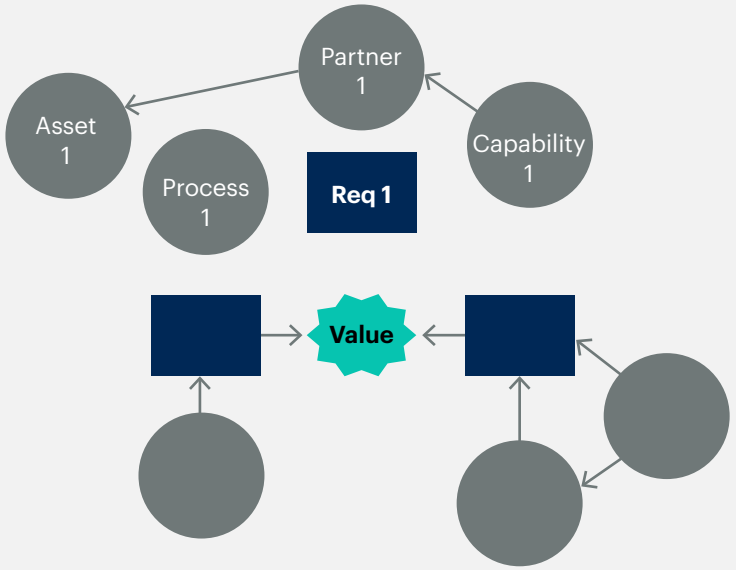
As firms take on more transformational initiatives, it has become harder for stakeholders to pressure-test assumptions about what resources an initiative will need to reach its goals.

Create visual maps (example at right) for how an initiative plans to use resources, capabilities, assets and internal processes to create value.

This helps to pressure-test each part of the resource plan and identify flaws in the initiative's design early.

Related tool for Gartner clients
Gartner Initiative Accelerator

Initiative Value Map



Value Creation Requirements
Technical conditions that must be met to enable the initiative to capture value

Value Driver
- **Internal:** Assets, capabilities, processes, resources, etc.
- **External:** Suppliers, partners, etc.

Relationships
Map dependencies between value requirements and individual value driver nodes

Source: Adapted From ReadyAlly*
*Pseudonym

4 Be clear about who owns what

Avoid this mistake: Assigning project ownership right before execution

59% of organizations that are fully successful at achieving strategic objectives have clearly **assigned responsibilities** across the enterprise.

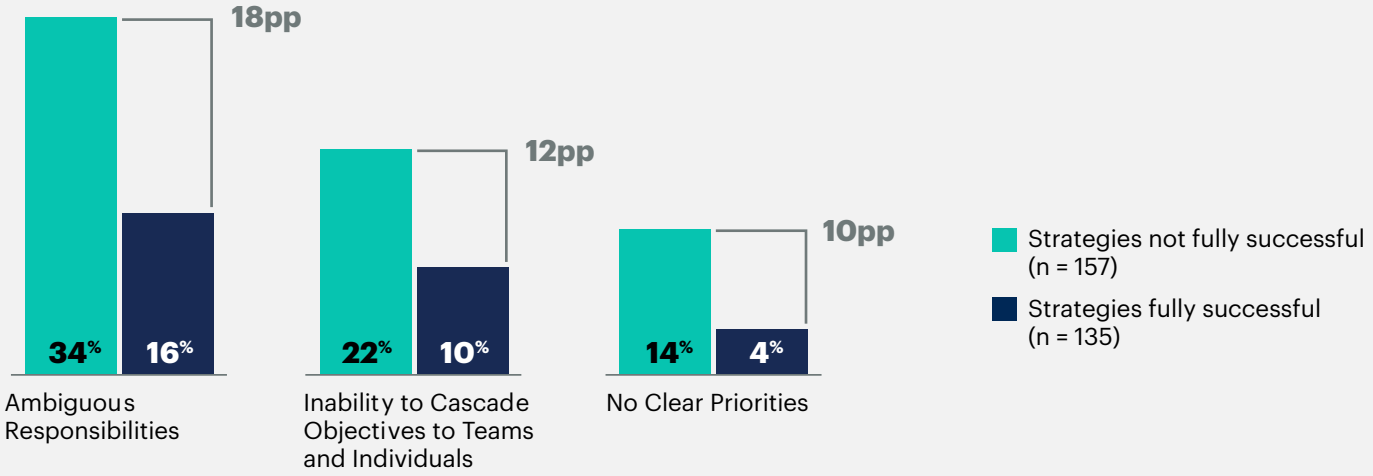
Source: 2022 Gartner Barriers to Continuous Strategy Execution Survey

All good execution starts with a clear direction. If you don't know what is expected or desired, how are you going to accomplish the outcome?

Your strategic objectives should specify both responsible owners and execution teams. Transparency is key, as it enables executive leaders to proactively address risks that could impact outcomes. It also enables the enterprise to quickly adapt or adjust course as priorities and outcomes change.

Three Key Challenges Impacting Successful Execution of Strategic Objectives

Showing Difference in Percentage of Respondents to Select



n varies by cohort, business leaders responsible for enterprise business or IT strategy
Q: Which challenges your organization's ability to achieve strategic objectives?
Source: 2022 Gartner Barriers to Continuous Strategy Execution Survey
Note: pp = percentage points

5 Cascade plans side to side, not just top-down

Avoid this mistake: Turning strategy cascades into a one-way, top-down communications activity

When **objectives are cascaded,** organizations have two times the impact on succeeding with strategic objectives.

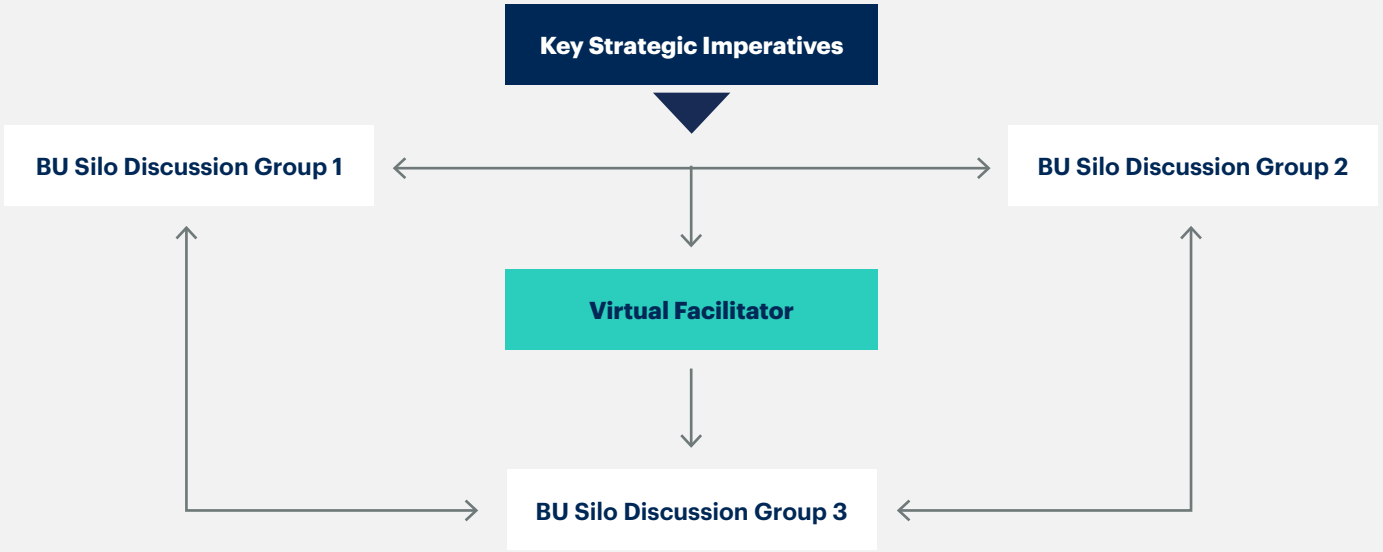
Source: 2022 Gartner Barriers to Continuous Strategy Execution Survey

Simply building a strategic plan and cascading it downward in the organization doesn't work given today's interconnected enterprise strategies, such as digital transformation.

It's critical to map out and promote cross-silo understanding before planning and executing initiatives to make sure the managers involved know how their work affects others in the organization.

Virtual Cross-Silo Strategy Cascade

Sample Structure of Regional Events



Source: Gartner

6 Focus performance measures on key strategic assumptions

Avoid this mistake: Tying initiatives to metrics that relate mostly to day-to-day performance

Limit your plan to four to seven key assumptions that have the **greatest impact,** to minimize barriers to execution.

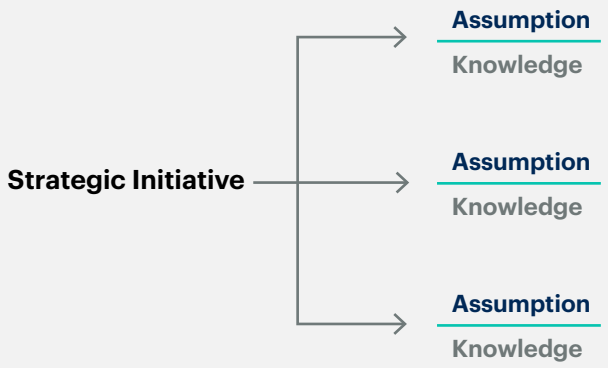
Source: Gartner Corporate Strategic Planning Research

Focus performance metrics on key assumptions, not outputs, to help the organization navigate uncertain environments without losing clarity on its strategic direction. This enables teams to be more decisive and better aligned with strategy throughout the course of execution.

Measures that can validate core assumptions help organizations with their "assumption-to-knowledge" ratio, surfacing causes of current performance issues and improving confidence to pivot during execution.

Related tool for Gartner clients
Gartner Score Maturity Assessment

The Assumption-to-Knowledge Ratio Structure



Ratio Definition

Assumption: What things must be true for this to work?

Knowledge: What do we know (or need to) about this?

Source: Gartner

7 Pressure-test plans against a limited set of future scenarios

Avoid this mistake: Under- or overinvesting in how future scenarios might change strategic plans

Only 38% of organizations that use **trendspotting** have a defined or formal process for it.

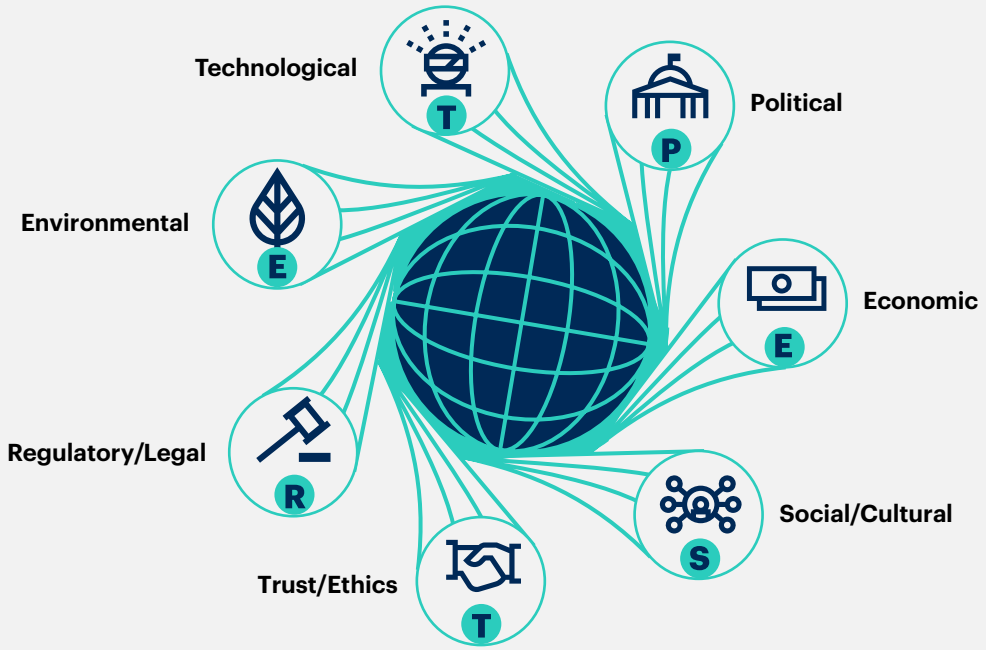
Source: Gartner Trendspotting Survey 2021

Scenario planning is a purposeful approach for exploring changes in the operating environment to assess potential opportunities and risks.

Function, business and enterprise leaders must incorporate key assumptions about a range of such issues into their strategic plans, specifying cause-and-effect relationships and interdependencies.

However, this is a practice most executives overthink. We suggest taking an 80/20 approach by focusing on just a few likely scenarios to help pressure-test the viability of chosen strategic initiatives and investments.

A Tapestry (TPESTRE) of Trends



Source: Gartner

Bonus: Use a powerful visual to communicate your function's strategic plan

Strategic Plan for Marketing & Communications Leaders, 2023–2024

This is an example. Use the fillable template on page 12 to customize for your needs.

Vision Statement

State where the organization wants to go, what you want to accomplish.

Example: Drive efficient growth by focusing on customer value, purposeful evolution of the marketing function and continual optimization of brand value.

Statement of Strategy

Develop a concise statement to summarize the essence of the plan, the target state and required initiatives.

Example: To help achieve company goals of improving growth by providing solutions that help business partners make better R&D decisions.

Current State

4 to 7 key metrics characterizing your current state

Do
- Accurately measure the organization's baseline and progress toward target state
- Capture risks to achieving mission-critical business priorities

Don't
- Create overly detailed metrics related to day-to-day performance

Example: Marketing-influenced sales pipeline — 3,500 MQLs FY 2021; 65% from existing customers

Example: Brand health — Net Promoter Score 25+

Plan

4 to 7 initiatives required to achieve the target end state

Do
- Reconcile conflicting views
- Build strong buy-in
- Focus resources and attention

Don't
- Push ahead without consensus and buy-in

Example: Implement targeted digital advertising as part of the integrated account-based marketing program to increase MQLs.

Example: Launch new master brand campaign internally and externally.

4 to 7 assumptions that must be true for the plan to succeed

Do
- Communicate explicitly
- Specify quantifiable thresholds
- Allow for real-time course corrections

Don't
- Create confusion or disagreement around basis of strategy
- Omit risks that must be mitigated

Example: Return to face-to-face events and scaling of hybrid experience events will enable the reestablishment of valuable lead-generation opportunities.

Example: Able to recruit a new strategic brand agency by 3Q21.

Future State

4 to 7 key metrics characterizing your target state

Do
- Describe the organization's desired end state
- Set goals to determine when the end state will be reached

Don't
- Target scenarios too distant from the current state

Example: MQLs grow by 15% year over year. Eighty percent of MQL growth to come from existing customers.

Example: NPS up from +25 to +45 by end of 20XX

Strategic plan for your marketing function

Type in the fields below to complete the interactive form.

Vision Statement

Statement of Strategy

Current State

4 to 7 key metrics characterizing your current state

Plan

4 to 7 initiatives required to achieve the target end state

4 to 7 assumptions that must be true for the plan to succeed

Future State

4 to 7 key metrics characterizing your target state

Actionable, objective insight

Explore these additional complimentary resources and tools for marketing leaders:

eBook

The State of Marketing Budget and Strategy in 2023

Get actionable insights to benchmark your marketing budget.

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Webinar

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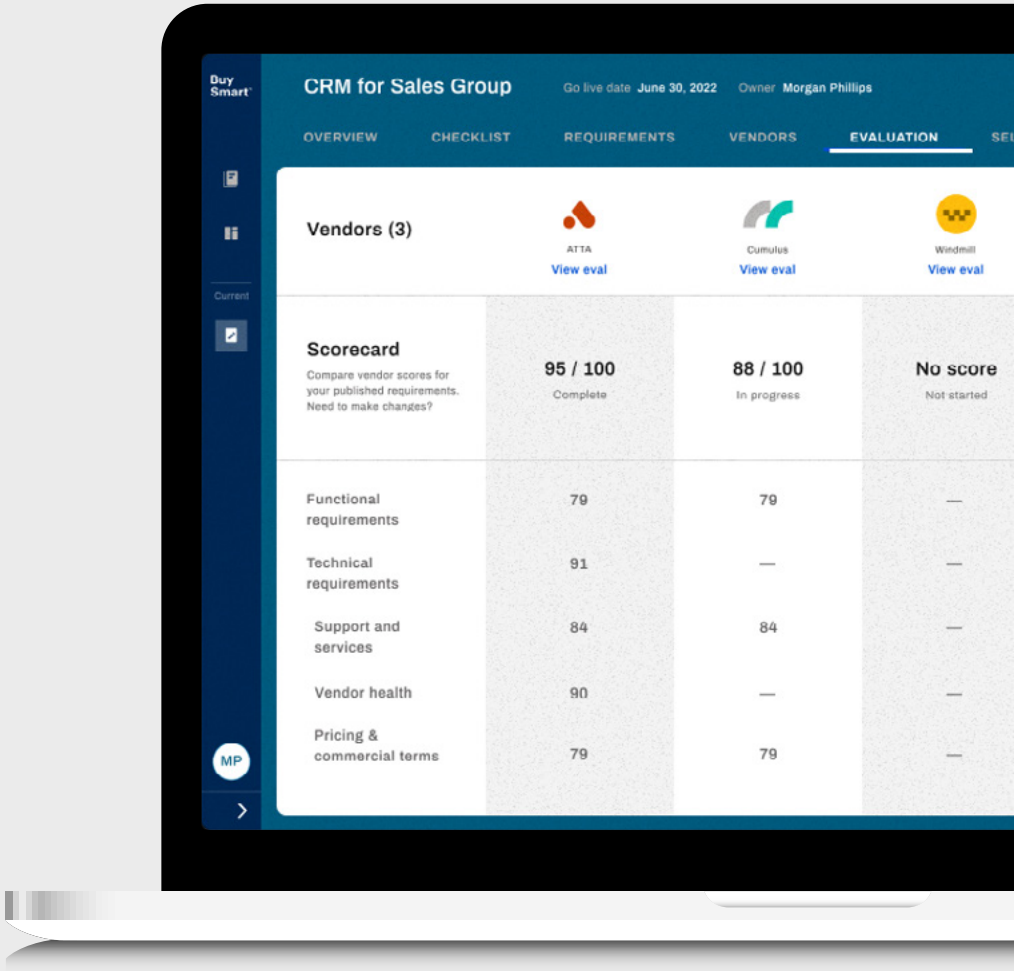

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